$DIS Disney Stock Report



BUSINESS BREAKDOWN,
PERFORMANCE, WHAT'S WORKING,
& STRATEGIC RECOMMENDATIONS

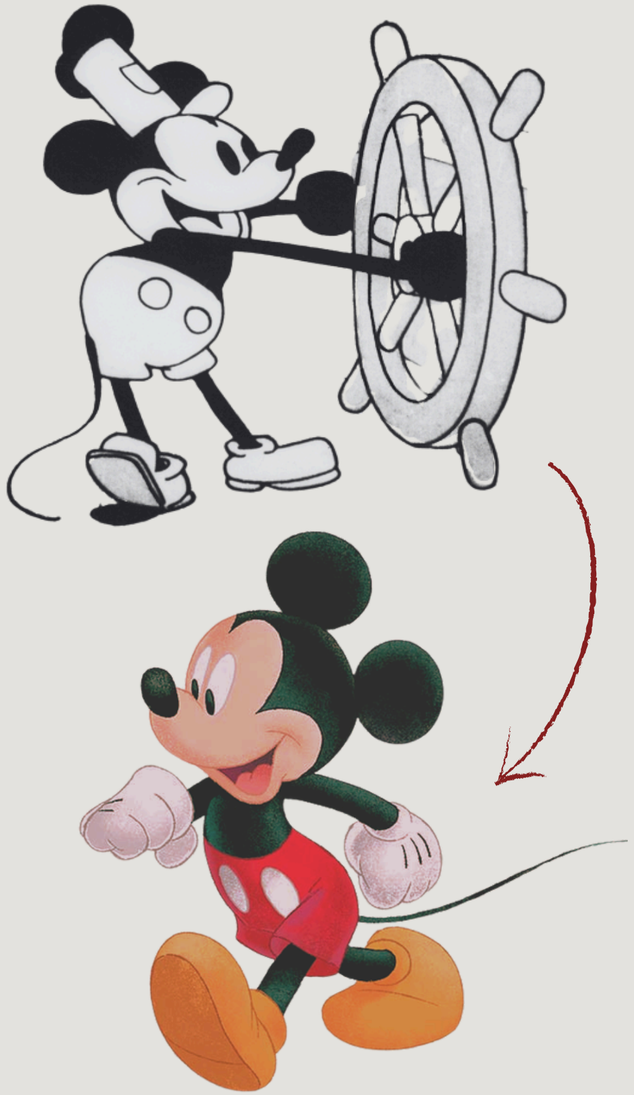
Disney: A Brief History

- **1923-1955: Foundations**
  - Long term profit strategy: films = music, merchandise, parks
  - Media company transformed into physical park experience

- **1984-2005: Conglomerate**
  - Expanding, major acquisition of ABC/Capital Cities
  - Disney owns both content & distribution channels

- **2006-2020: IP-driven**
  - Acquisition of Pixar, Marvel, Lucasfilm, etc. = cultural draw
  - Shift from solely internal development

- **2020-2026: Digital Age**
  - Streaming service: Disney+ eliminates 3rd party distributors
  - Today: **balancing media profits with park experiences**



Segments Breakdown

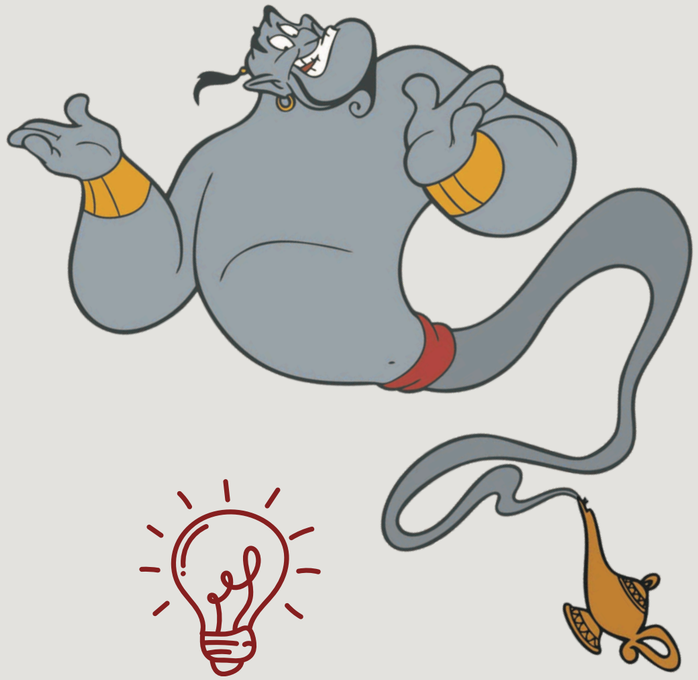
- **Entertainment**
  - *Area for growth*: major film studios, streaming services
    - Disney+, Hulu, Marvel Studios, Pixar Animation Studios, etc.
  - Key: investors check actual ROI growth > subscriber increase

- **Experiences**
  - *Majority of profits*: theme parks, cruise lines, consumer products
    - Disney Orlando, Disney Cruise Line, licensing, merchandise
  - Key: investors check product spending within parks

- **Sports**
  - *Live catering*: sports broadcasting separated from other live TV
    - ESPN+ and related platforms
  - Key: investors track profitable fee raises for cable viewers



Stock Overview



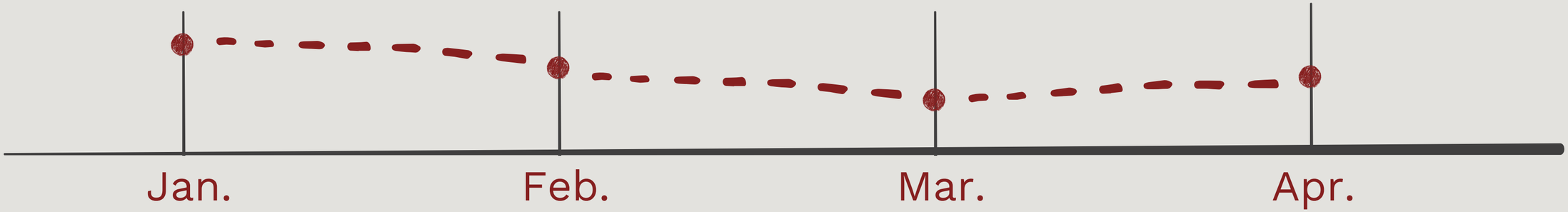
- **$DIS: 106.29 per share** *(as of April 17, 2026)*
  - How has the stock changed since January?
    - What events might have driven that change?

$111-114
Acqusition of NFL Network for ESPN

$112 → 106
Diminished earnings quality, search for CEO

$104 → 92
New CEO: Josh D'Amaro & experiences

$92 → 106
D'Amaro = success, game profit potential



Financial Performance



$26B
Total revenue
+5% YoY

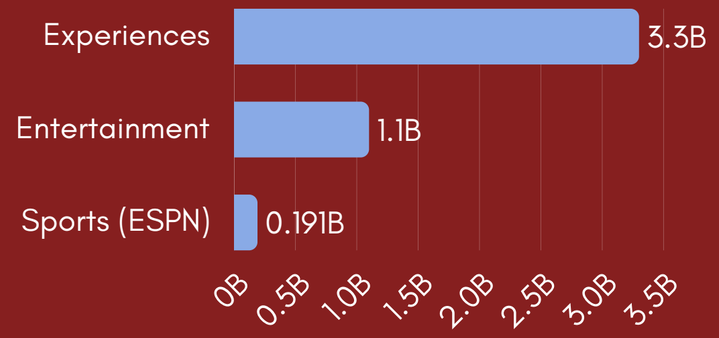
$4.6B
Segment OI
-9% YoY

$1.34
Diluted EPS
↓ from $1.40

WHY REVENUE IS UP BUT PROFIT IS DOWN

Margins declined due to higher programming, production, and marketing costs in Entertainment. However, this pressure is driven by deliberate investment decisions rather than underlying business weakness.

SEGMENT OPERATING INCOME BREAKDOWN



Q2 report: May 6, 2026

Results will test whether Entertainment margin can recover as content costs normalize. Watch SVOD OI guidance of ~$500M and whether Experiences sustains its record pace.

FY2026 full-year guidance

Adj. EPS	SVOD margin	Cash from ops	Stock buyback
Double-digit growth	**10% target**	**$19B**	**$7B**
vs. FY2025	up from 8.4%	FY2026 guided	on track

Key takeaway

The Q1 profit dip reflects deliberate spending, not weakness. With double-digit EPS growth guided and streaming turning profitable, Disney's financial trajectory points upward into H2 2026.

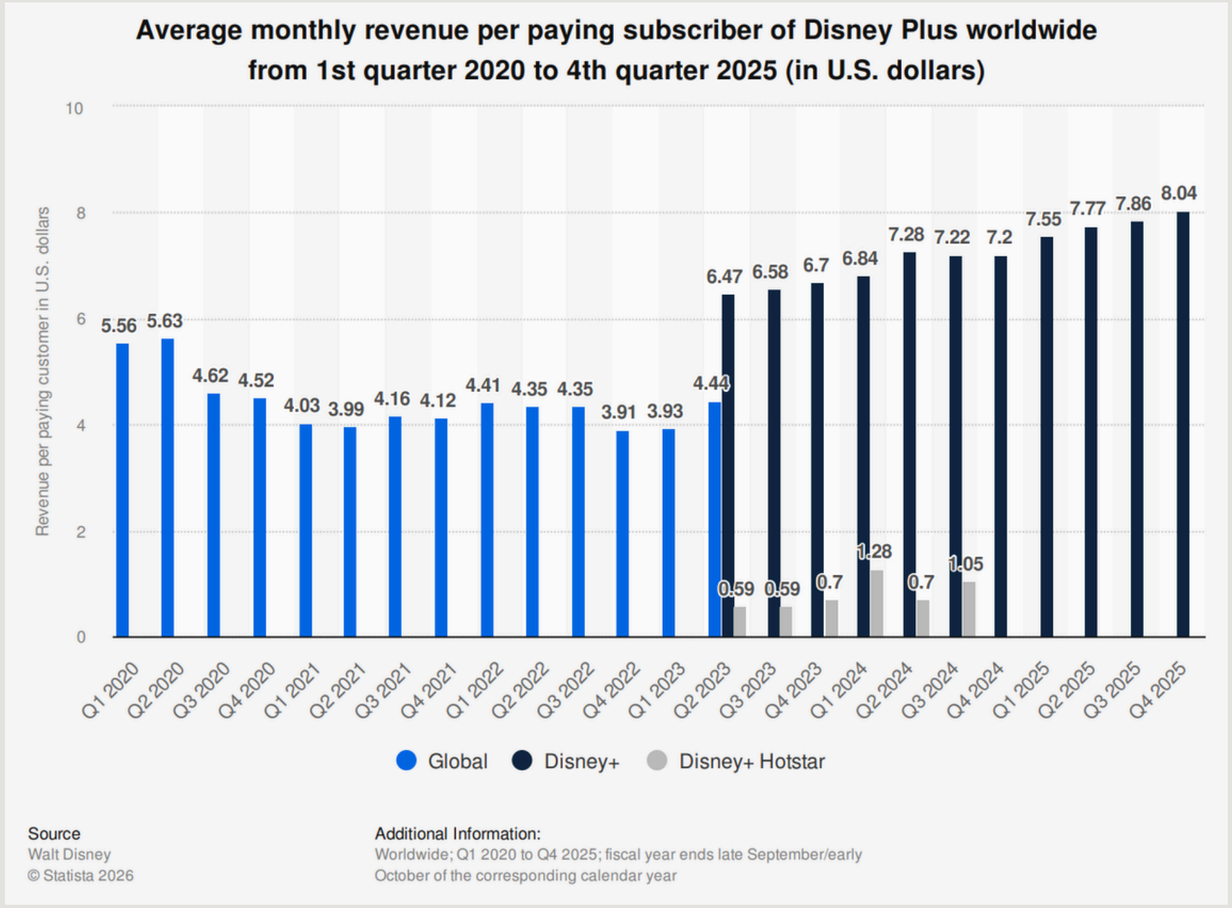
ARPU & Streaming



+24%
ARPU growth 2023–2025

$8.04
Last reported Core ARPU

8.4%
SVOD margin Q1'26



Mid-2023 Inflection

ARPU jumps sharply after price increases and the ad-supported tier launch. Signals Disney shifting from add users to earn more per user.

Core vs. Hotstar gap

Disney+ Core (~$8) vs. Hotstar (~$1) shows ARPU is heavily tied to geographic mix. Long-term profitability depends on monetizing developed markets more deeply.

2026 Updates

Disney stopped reporting ARPU in Q1 FY2026, calling it “less meaningful.” SVOD operating income now $450M, showing that streaming has turned the corner from losses to profit.

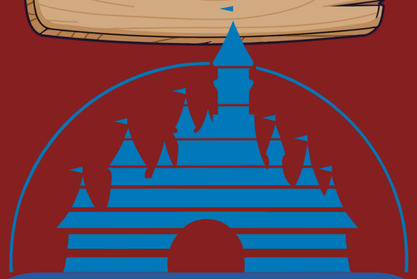
Value Chain

Inbound Logistics



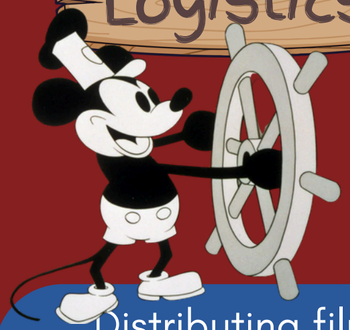
Secure IP & content rights
Source materials & partnerships
Leverage tax incentives

Operations



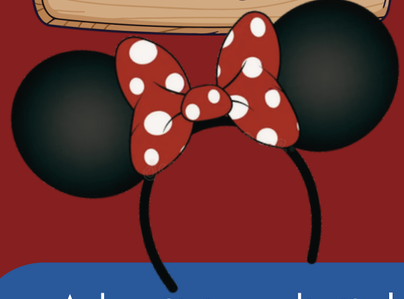
Producing films, TV, and theme park experiences, plus managing resorts and cruises

Outbound Logistics



Distributing films (theaters, home media, streaming) and delivering park tickets, merchandise, cruise and hotel bookings

Marketing & Sales



Advertising, digital campaigns, and partnerships, leveraging strong brand recognition

Service



Curate guest experiences, customer support, and engagement

Procurement: Source talent and creative teams, ensure safety and sustainability (ILS Program).

What's Driving Growth

- World-famous IPs – sustaining box office (e.g., Zootopia 2)
- Revenue ↑ 5%, driven by diversified segments
- Experiences booming → $10B Q1 revenue
- Strategic reinvestment in parks & cruises
- Streaming profitability surged (+72%)

Disney is shifting from a media company → experience-driven ecosystem.



Key Weaknesses & Risks

- Leadership instability limits long-term strategy
- Significant debt constraining flexibility
- ESPN/cable decline - dragging legacy TV model
  - YouTube dispute → ~$110M operating income loss
- Entertainment profits ↓ 9% despite revenue growth
- Film strategy underperforming despite high volume
  - Big-budget risk: *Tron: Ares* underdelivered
- High pricing risks alienating core consumers



Disney’s biggest challenge is legacy decline + high-cost strategy in an evolving media landscape.

Leadership Changes

- **Robert Iger:**
  - New Role: Senior Advisor/ Board Member
- **Josh D’Amaro**
  - New Role: Chief of Executive Officer
    - Guide Disney forward to serve customers and creative long term value for shareholders
- **Dana Walden**
  - New Role: President/Chief Creative Officer
    - Maximize profits and unify all mediums of Disney entertainment into one inegrated structure across all platforms
- **Cost Cutting and Restructuring**
  - General cost cutting and workplace reduction, resulted in mass lay offs of 1000s of Employees
    - Marvel exclusively hit hard, cutting nearly the entire visual department

Robert Iger



Josh D’Amaro



Dana Walden



Leadership Changes



Alan Bergman
Chairman of Disney Entertainment



Debra OConnell
Chairman of Entertainment TV



Asad Ayaz
Chief Marketing and Brand Officer



Sean Shoptaw
EVP, Games and Entertainment



Adam Smith and Joe Earley
Co-Presidents of Direct to Consumer
Joe - Head of Content Strategy
Adam - Chief Product and Technology Officer for Disney Entertainment and ESPN



John Landgraf
Chairman of FX

Major Investment Strats.

- IP Expansion
  - Expanding core IP and franchises for franchise synergy
  - Monetizing IP across film, tv, gaming, merchandise
- Experiences Expansion
  - Disney has committed to investing $60 billion over the next 10 years to accelerate and enhance their park and cruise experiences
- Strategic Acquisitions
  - Acquiring and integrating powerful IP driven companies (21st Century Fox, Marvel, Pixar, LucasFilm, etc)
- Streaming Investments
  - Heavy investment in platforms such as Disney Plus, ESPN+, and Hulu to extend international reach
  - Profitability through ad-supported tiers and bundling



Recommendations



Balancing IP based content, live action adaptations, and sequels with original content



Use Disney Plus to bolster new IP for future uses



Maximizing Disney Plus Profits and heighten the scope of Disney Plus content

Recommendations



Strengthening/ Accelerate the video game sector of Disney



Establishing strong, stable leadership to improve long term strategy



International expansion of Disney Experiences (Parks, resorts, and cruises)

2026 Film Slate

Hoppers
March 6, 2026

The Devil Wears Prada 2
May 1, 2026

Star Wars: The Mandalorian and Grogu
May 22,2026

Toy Story 5
June 19, 2026

Moana
July 10,2026

Hexed
Nov 25,2026

Avengers: Doomsday
Dec 18, 2026

Sources

1. Alonso, Tefi. "Strategy Study: How Disney Became The World's Entertainment Leader." *Cascade*, 15 Feb. 2023, www.cascade.app/studies/disney-strategy-study.
2. Barnes, Brooks. “Disney’s Profit Wilts, despite Streaming and Parks Growth.” Nytimes.com, *The New York Times*, 2 Feb. 2026, www.nytimes.com/2026/02/02/business/disney-profit-wilts-movies-tv.html.
3. Burris, Devan. “Why Disney and Universal Are Investing Billions into Their Theme Parks.” *CNBC*, 8 June 2025, www.cnbc.com/2025/06/08/why-disney-universal-are-making-historic-investments-in-theme-parks.html.
4. “Disney Plans to Expand Parks Investment, Doubling Capital Expenditures Over 10 Years.” *The Walt Disney Company*, 19 Sept. 2023, thewaltdisneycompany.com/news/disney-plans-to-expand-investment-in-parks-business/.
5. “Disney plus Quarterly ARPU 2025| Statista.” *Statista*, 2025, www.statista.com/statistics/1115395/disney-plus-average-revenue-per-subscriber-worldwide/?srsltid=AfmBOorkl-iZj2Au-_JPEYz8mPMYiDCzA90B4zrYEWAEjVrE48xqVCk7. Accessed 16 Apr. 2026.
6. “Josh D’Amaro Named Next Chief Executive Officer of The Walt Disney Company.” *The Walt Disney Company*, 3 Feb. 2026, thewaltdisneycompany.com/news/disney-ceo-announcement/.
7. Salkowitz, Rob. “Disney Layoffs Hit Marvel Studios Hard.” *Forbes*, 14 Apr. 2026, www.forbes.com/sites/robsalkowitz/2026/04/14/disney-layoffs-hit-marvel-studios-hard/.
8. “The Walt Disney Company Reports First Quarter Earnings for Fiscal 2026.” *The Walt Disney* Company, 2026, https://investors.thewaltdisneycompany.com/news/news-details/2026/The-Walt-Disney-Company-Reports-First-Quarter-Earnings-for-Fiscal-2026/default.aspx.
9. White, Peter. “Dana Walden Realigns Disney Entertainment Leadership Team; Debra O’Connell To Oversee New Global Division.” *Deadline*, 4 Mar. 2026, deadline.com/2026/03/dana-walden-disney-entertainment-leadership-debra-oconnell-1236756934/.